

Face Value

Banking on Luck for the Next Big Challenge



VARANI SAHU

Ajay Srinivasan

In recent weeks, feverish discussions have been taking place about the draft norms for new banking licences unveiled by the Reserve Bank of India. One group has been preparing for years now to own a bank — the Aditya Birla Group led by Kumar Mangalam Birla. The man behind the preparation is Ajay Srinivasan.

Srinivasan, the 47-year-old chief executive of financial services at the group, is no greenhorn when it comes to setting up new projects, or building businesses. But this time round, the financial world is a different place than what it was in the past two decades. And the regulator he faces is one that looks at fancy financial products with suspicion, more so after the 2008 credit crisis. After a successful 23 years in financial services, can the Indian Institute of Management, Ahmedabad, graduate repeat with a bank what he did for a mutual fund?

"One can't take that for granted," says a former colleague who did not want to be identified. "As an individual he has the ability, but a lot of it will also depend on how the markets play out." Srinivasan, who helped ICICI Prudential Mutual Fund, a joint venture between UK's Prudential and ICICI Bank, to end the three decade leadership of Unit Trust of India, is clear that much water has flown down the Ganges since his move to head Prudential's asset management business in Hong Kong. "We have not had a normal situation at all in the past few years," says Srinivasan. "The tight supervision is part of the new regulatory world."

His decision to move back to India from Hong Kong instead of heading to London shows that he could see the changes that were coming and was willing to take the local challenge. Srinivasan as the chief executive is credited with taking ICICI Prudential to the top slot in the late 1990s with an aggressive marketing team that shook up the industry. He built Prudential's asset management business in Asia from about



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His decision to move back to India from Hong Kong instead of heading to London shows that he could see the changes that were coming and was willing to take the local challenge. Srinivasan as the chief executive is credited with taking ICICI Prudential to the top slot in the late 1990s with an aggressive marketing team that shook up the industry. He built Prudential's asset management business in Asia from about \$5 billion to nearly \$70 billion and set up operations in more than 10 countries from South Korea to Vietnam.

But where he cut his teeth was in the development bank avatar of ICICI Bank, the Industrial Credit and Investment Corporation of India, where he was into project study and long-term lending. The next step was the ITC group's financial services unit where he set up the mutual fund joint venture with Threadneedle. He has delivered growth in the present job as well. Financial services revenues are up more than three times at ₹6,300 crore; assets under management has risen by four times to ₹90,000 crore. His business is swinging into profits of more than ₹450 crore from a loss in fiscal 2007.

A question mark remains on whether he was right on the decision to buy Apollo Sindhoori, a brokerage. This was a business that the group exited after being burdened with it in the 1990s. Srinivasan delivers for the management, but some of his colleagues feel that probably he is not very good at it when it comes to taking care of their interests. He is "impatient" and insists on "speed," they say. In the next phase of life as a banker, when it happens, he may have to learn the art of being "slow and steady."

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